TOPIC 2 · AUSTRALIA'S PLACE IN THE GLOBAL ECONOMY

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Woodside cuts 500 jobs and its dividend as energy prices slide

> Australia's biggest oil and gas producer is cutting costs and paying out less to shareholders. It shows how changes in world energy prices flow through to Australian firms, jobs and export income.

WHAT HAPPENED

- Woodside will cut at least 500 jobs, about 10% of its global workforce. Around 80% of its workers are in Australia, mostly in WA.
- It is targeting structural savings of about US$400m a year from 2028; the AFR reports about A$570m.
- The dividend changes from 50–80% of underlying profit to 20–40% of adjusted operating cash flow. Only the first 20% is guaranteed.
- Woodside shares fell as much as 6.6%, on the same day oil prices plunged.
- Scarborough LNG is 99% complete, with first gas due this quarter. Louisiana LNG (32% complete) is due in 2029.

Terms of trade: the ratio of export prices to import prices; it rises when commodity export prices rise

LNG: liquefied natural gas, one of Australia's largest export earners

500+
Jobs to go, about 10% of Woodside's workforce

US$400m
Annual structural savings targeted from 2028

99%
Scarborough LNG project completion; first gas due Q4 2026

FLOW CHART

How falling energy prices reach the Australian economy

World oil and LNG prices fall → Export prices fall → terms of trade decline → Lower export income and profits → Producers cut costs, jobs and dividends → **Lower national income; slower growth in WA**

Exam angle: A falling terms of trade **reduces national income** and usually **weakens the AUD**. But cheaper fuel imports also help households, so the net effect depends on Australia's mix of exports and imports.

SYLLABUS LINK

Topic 2 – Commodity prices and the terms of trade; the composition of Australia's exports (energy resources).

TRY THIS

1. Explain how a fall in world energy prices affects Australia's terms of trade. **(4 marks)**
2. Discuss the effects of a declining terms of trade on Australian economic growth and employment. **(6 marks)**

Read more: abc.net.au/news – business live 5 Nov · discoveryalert.com/news/woodside-capital-markets-day-dividend-job-cuts-november-2026

Summary written in our own words for classroom use